ICICI PRUDENTIAL ASSET MANAGEMENT COMPANY LIMITED

MARKET OUTLOOK

December 2025

MONTH GONE BY: VIEW ON ECONOMY & MARKETS

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Indian equity markets ended Nov'25 on a positive footing after an erratic month. Improving corporate earnings, robust domestic demand, healthy DII inflows, resilient IPO activity and easing inflation helped cushion the downside, while a weaker rupee and mixed global cues limited a major upside.

In the month of Nov'25, Nifty 50 index rose by 1.9%, Nifty Midcap 150 index inched up by 1.6% and Nifty Smallcap 250 declined by 3.4% respectively. BSE IT, BSE Auto and BSE Bankex were top gainers, recording gains of 3.7%, 3.1% and 3.1% respectively. While, the top laggards were BSE Realty, BSE Power Index and BSE Metal indices, which declined by 4.7%, 4.5% and 2.9% respectively.

BSE Indices	1M	3M	6M	1Y	CYTD
IT	3.7%	5.4%	-1.6%	-15.1%	-15.9%
Auto	3.1%	10.3%	18.0%	16.7%	19.5%
Bankex	3.1%	11.5%	6.0%	12.9%	15.9%
Telecommunication	2.4%	10.3%	3.1%	4.9%	7.6%
Consumer Durables	2.2%	2.0%	6.8%	-1.0%	-4.0%
Healthcare	0.8%	2.9%	5.4%	2.8%	-0.9%
Energy	-0.4%	9.8%	3.7%	5.4%	9.8%
FMCG	-1.2%	-1.0%	0.5%	-3.8%	-1.8%
Oil & Gas	-1.5%	10.4%	4.4%	5.2%	8.2%
Capital Goods	-1.7%	5.8%	-2.6%	-2.1%	2.1%
Metal	-2.9%	12.3%	10.9%	11.7%	18.1%
Power Index	-4.5%	3.4%	-2.8%	-11.7%	-5.1%
Realty	-4.7%	3.7%	-4.7%	-11.9%	-14.8%
BSE 500	0.9%	6.4%	4.8%	5.1%	6.7%

BSE index data – www.bseindia.com as on November 28, 2025 | FMCG – Fast Moving Capital Goods | CYTD – Current Year To Date

Foreign Portfolio Investors (FPI) turned net positive buyers to the tune of USD 430mn on account of buoyant primary market activity. Even though foreign investors were seen trimming secondary market holdings, there was significant funneling of sums into IPOs in Nov'25, indicating strong appetite for new listings. DIIs recorded resilient net inflows of USD 8.68bn. The IPO activity recorded INR 236 bn in the month of Nov'25.

The Indian Rupee remained under pressure against the US dollar during Nov '25 due to higher import demand and weak trade flows[1]. Year to date INR has depreciated around 4.5% against the USD raising concerns among FPIs about dollar returns. The market enters Dec'25 well-supported but sensitive to global risk cues, RBI's policy path and USD/INR moves.

[1] The above factors are only indicative. There may be other factors that might be relevant.

DII – Domestic Institutional Investors, IPO – Initial Public Offering
Source – Motilal Oswal – India Strategy Nov'25 - Nifty-500 review: Broad-based growth amid challenges, IMF Publication – 26 Nov 2025, Kotak Monthly wrap, SBI CAPS – India – Q2FY26 GDP Update.
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GDP Growth Reflects Pick Up in Momentum

The real GDP has been estimated to grow by 8.2% in Q2FY26 against the growth rate of 5.6% during Q2FY25. Private consumption (PFCE) growth has gained traction with growth of 7.9% in Q2FY26 vs 6.4% in Q2FY25. Rural consumption remains resilient and urban consumption is gaining traction supported by GST rate rationalization.

In the last two quarters, Services sector have been the engine of growth (9.2% YoY), supported by healthy public spending and the financial sector maintaining its momentum despite high base. Acceleration in trade, transport and communications is reflective of improving demand aided by GST rationalization and festive season. The Industrial pick up was driven by resurgent manufacturing despite extended monsoons. The Government's focus on capex aided construction growth in Q2FY26 on a relatively higher base and Agriculture grew at a steady pace of 3.5% YoY in Q2FY26, supported by good kharif sowing and favourable monsoon conditions.

Exhibit 1: Resilience across Manufacturing and Services sector

Change % YoY	Q2FY25	Q3FY25	Q4FY25	Q1FY26	Q2FY26
Gross Value Added (GVA)	**5.8**	**6.5**	**6.8**	**7.6**	**8.1**
Agriculture and allied	4.1	6.6	5.4	3.7	3.5
Industry	3.8	4.8	6.5	6.3	7.7
Mining and quarrying	-0.4	1.3	2.5	-3.1	0.0
Manufacturing	2.2	3.6	4.8	7.7	9.1
Electricity, gas & Water supply	3.0	5.1	5.4	0.5	4.4
Construction	8.4	7.9	10.8	7.6	7.2
Services	7.2	7.4	7.3	9.3	9.2
Trade, hotel, transport & communication	6.1	6.7	6.0	8.6	7.4
Finance, real estate and prof services	7.2	7.1	7.8	9.5	10.2
Public admin., defence & Other services	8.9	8.9	8.7	9.8	9.7

Source – Ministry of Statistics and Programme Implementation

Additionally, the International Monetary Fund (IMF) in its latest release stated that it expects India's economy to remain resilient, projecting growth of 6.6% in FY26. GST reforms introduced in Sep'25 might help cushion the impact of the 50% U.S. tariff hike, while supportive domestic conditions could help in sustaining robust momentum.

The support of Indian Government to boost economic growth and ease of doing business continues with introduction of its new labour code, which simplifies the existing 29 labour laws into 4 codes. The new laws cover wages, social security, industrial relations and working conditions. With the objective of easing compliance requirements, promoting the ease of doing business, laying the foundation for universal social security, defining a national floor wage, creating safe working environments and remunerative formal opportunities for workers, these codes could help align the old world reforms with global standards.

Source – Motilal Oswal – India Strategy Nov'25 - Nifty-500 review: Broad-based growth amid challenges, IMF Publication – 26 Nov 2025, Kotak Monthly wrap, SBI CAPS – India – Q2FY26 GDP Update

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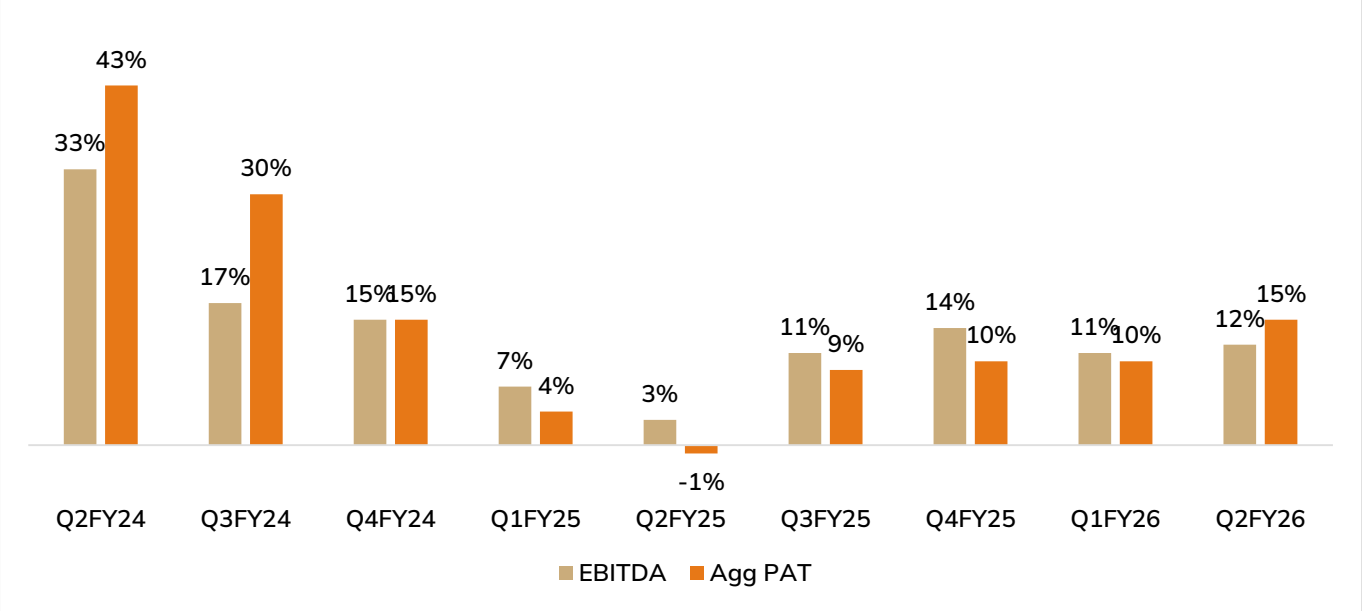
Q2FY26 Earnings – Highest in Five Quarters

The Nifty 500 index delivered a healthy double-digit earnings growth in Q2FY26, the highest in five quarters, despite geopolitical headwinds and mixed consumption trends.

Aggregate earnings of the Nifty 500 universe grew 15% YoY. Aggregate sales, EBITDA and adj. PAT of the index companies grew at 8%; 12% and 15% YoY respectively to approx. INR35tn; INR8tn and INR4tn in Q2FY26. About 230 companies within Nifty 500 reported an earnings growth of over 15% YoY, while 174 companies reported a decline or loss during the quarter.

Exhibit 2: EBITDA and Aggregate PAT YoY growth of Nifty 500 Index



Source – Motilal Oswal - India Strategy

The corporate earnings in Q2FY26 were reasonably driven by broad-based growth, with significant contributions from key sectors such as Oil & Gas, NBFC, Metals, Cement, Capital Goods which recorded strong growth on a low base. Meanwhile, Technology, Healthcare, Public Sector Banks witnessed muted earnings growth. In contrast, Automobile, Private Banks and Media limited the overall earnings growth.

The **capital intensive sectors** saw some pick up with the Metals & Mining sector reporting healthy PAT growth of 18% YoY over a soft base of Q2FY25. Growth was also boosted by a relatively better performance of ferrous metal companies, better-than-expected earnings despite softer realizations, with EBITDA rising by 11% YoY on healthy volume and lower costs. Non-ferrous companies posted growth in earnings led by favorable metal prices and steady volumes.

The **cement sector** consecutively reported its second quarter of strong earnings growth, rising 3.1x YoY after repeatedly reporting weak earnings during FY25. Reported sales and EBITDA of the sector grew 18% and 49% YoY, respectively.

Source – Motilal Oswal – India Strategy Nov'25 - Nifty-500 review: Broad-based growth amid challenges, IMF Publication – 26 Nov 2025, Kotak Monthly wrap, SBI CAPS – India – Q2FY26 GDP Update

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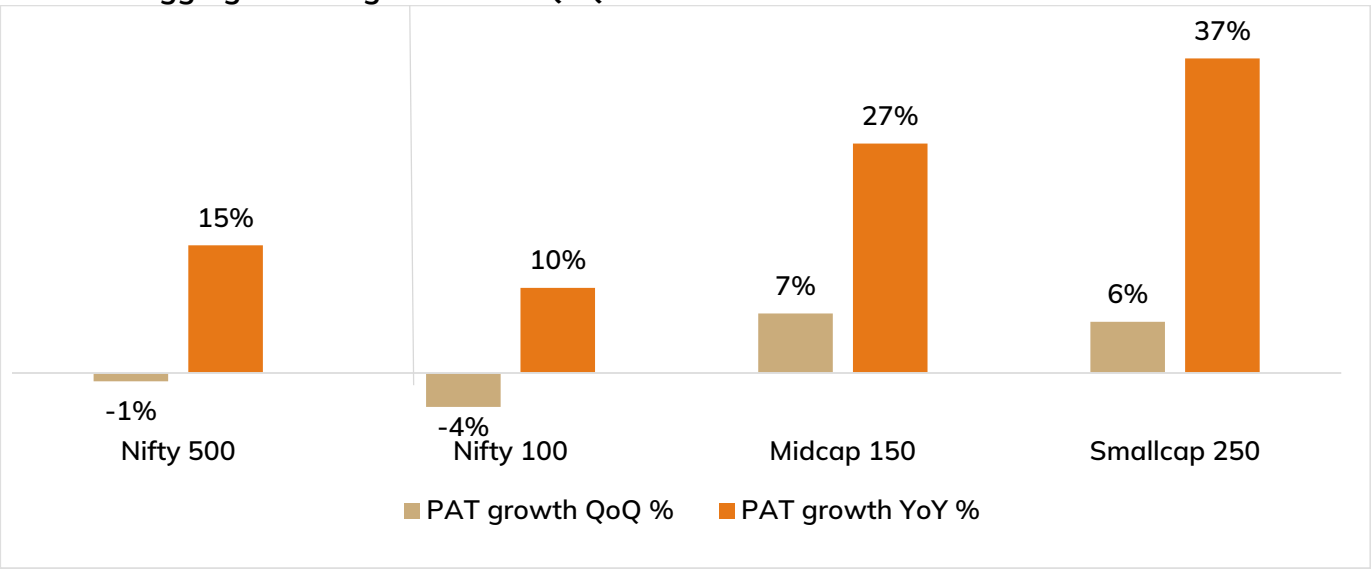
Midcaps and Smallcaps lead

The Q2FY26 earnings performance of the Nifty 500 index was fueled by mid and small cap companies. Aggregate earnings i.e, PAT of the Nifty Midcap 150 companies grew 27% YoY, while Nifty Smallcap 250 companies recorded a 37% YoY PAT growth. In comparison, PAT growth for large caps (Nifty 100) stood at 10% YoY.

Exhibit 3: Aggregate PAT growth on a QoQ and YoY basis



Source – Motilal Oswal - India Strategy

Despite sales growth remaining weak across market caps, the mid and small caps delivered strong EBITDA and PAT growth. This might be due to low base which aided strong PAT growth for select mid and small cap sectors.

Going ahead..

The recent GDP outcome signifies the impact of supportive government policies, underscores a resilient macroeconomic environment and reflects the impact of capex spending and continued traction of the services sector.

With inflation remaining under control, the RBI's monetary stance has created room to sustain liquidity support. On the monetary policy front, there continues to be an expectation of rate cut in upcoming monetary policy meet. The expected rate cut could help meet the investment demand, while safeguarding financial stability.

In current environment, we continue to remain overweight on financial services (select large private banks, insurance and capital market businesses) and capex oriented sectors like metals & mining and select auto ancillaries, wherever we find value. We are constructive on the consumer services segment and remain predominantly bottom-up to evaluate fundamentally resilient companies with focus on valuations and earnings growth. [2]

[2]Views are personal and subject to change at the fund manager's discretion.

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